

Consulting Project Volume – Management Consulting Firm

Context: A top-tier management consulting firm has an India office with 500 consultants (Associates to Partners).

Estimate the number of client projects this office would execute in a year. Also estimate the average revenue generated per project.

Let us first think about how the 500 consultants are deployed across projects. A typical top-tier engagement team is staffed across the pyramid — a fractional Partner, a Principal or Engagement Manager, a couple of Consultants, and a couple of Associates. Assume an average project team size of about 6 consultants, blending junior and senior staff.

Not every week in the year is billable. Consultants take vacation, attend training, do internal staffing and business development, and spend some time on the bench between projects. Assume about 46 billable weeks per consultant per year out of 52.

This gives a total capacity of $500 \times 46 = 23,000$ consultant-weeks available across the office in a year.

Next, consider how long a typical engagement runs. Strategy and operations projects at a top-tier firm usually run for about 10 to 12 weeks; assume 12 weeks as the average. Each project therefore consumes about $6 \times 12 = 72$ consultant-weeks of capacity.

Number of projects per year = total consultant-weeks available $\div$ consultant-weeks per project = $23,000 \div 72 \approx 320$ projects per year.

Now let us estimate average revenue per project. Billing rates at a top-tier firm's India office are blended across the pyramid — Associates bill lower and Partners bill much higher — so assume an average blended rate of about USD 9,000 per consultant per week.

Average revenue per project = team size $\times$ duration $\times$ weekly billing rate = $6 \times 12 \times \text{USD } 9,000 \approx \text{USD } 650,000$.

As a sanity check, multiplying projects per year by average revenue per project gives $320 \times \text{USD } 650,000 \approx \text{USD } 208$ million in annual office revenue, or roughly USD 415,000 of revenue per consultant per year — a reasonable figure for a top-tier firm's India practice.

So, a good final guesstimate is that the India office executes about **300 to 320 client projects per year**, at an average revenue of roughly **USD 600,000 to 700,000 per project**.